

3-5 Summary of Adjusting Process

A summary of the basic types of adjusting entries is shown in [Exhibit 6](#). The adjusting entries for **NetSolutions** are shown in [Exhibit 7](#). The adjusting entries are dated as of the last day of the period. However, because collecting the adjustment data requires time, the entries are usually recorded at a later date. An explanation is normally included with each adjusting entry.

Objective 5 - Summarize the adjusting process.

Exhibit 6

Summary of Adjustments

ACCRUED REVENUES								
Examples	Reason for Adjustment	Adjusting Entry		Examples from NetSolutions			Financial Statement Impact if Adjusting Entry Is Omitted	
Services performed but not billed, interest to be received	Services have been provided to the customer, but have not been billed or recorded. Interest has been earned, but has not been received or recorded.	Asset Revenue	Dr. Cr.	Accounts Receivable	500	Income Statement:	Understated	
				Fees Earned	500	Revenues	No effect	
						Expenses	Understated	
						Net income	Understated	
						Balance Sheet:	No effect	
						Assets	Understated	
						Liabilities		
						Stockholders' equity		
						(Retained		

ACCRUED REVENUES

Examples	Reason for Adjustment	Adjusting Entry	Examples from NetSolutions	Financial Statement Impact if Adjusting Entry Is Omitted
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earnings)

ACCRUED EXPENSES

Wages or salaries incurred but not paid, interest incurred but not paid	Expenses have been incurred, but have not been paid or recorded.	Expense Liability	Dr. Cr.	Wages Expense 250 Wages Payable 250	Income Statement: Revenues Expenses Net income	No effect Understated Overstated No effect Understated Overstated
					Balance Sheet: Assets Liabilities Stockholders' equity (Retained earnings)	

UNEARNED REVENUES

Unearned rent, magazine subscriptions received in advance, fees received in advance of services	Cash received before the services provided is recorded as a liability. Some services have been provided to the customer	Liability Revenue	Dr. Cr.	Unearned Rent 120 Rent Revenue 120	Income Statement: Revenues Expenses Net income	Understated No effect Understated No effect Overstated Understated
					Balance Sheet: Assets Liabilities Stockholders'	

ACCRUED REVENUES

Examples	Reason for Adjustment	Adjusting Entry	Examples from NetSolutions	Financial Statement Impact if Adjusting Entry Is Omitted
	before the end of the accounting period.		equity (Retained earnings)	

PREPAID EXPENSES

Supplies, prepaid insurance	Prepaid expenses (assets) have been used or consumed in the business operations.	Expense Asset	Dr. Cr.	Supplies Expense 1,240 Supplies 200 Insurance Expense 200 Prepaid Insurance	Income Statement: Revenues Expenses Net income Balance Sheet: Assets Liabilities Stockholders' equity (Retained earnings)	No effect Understated Overstated Overstated No effect Overstated
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DEPRECIATION

Depreciation of equipment and buildings	Fixed assets depreciate as they are used or consumed in the business operations.	Expense Contra Asset	Dr. Cr.	Depreciation Expense 50 Accum. Depreciation—Office Equipment	Income Statement: Revenues Expenses Net income Balance Sheet: Assets	No effect Understated Overstated Overstated No effect Overstated
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ACCRUED REVENUES

Examples	Reason for Adjustment	Adjusting Entry	Examples from NetSolutions	Financial Statement Impact if Adjusting Entry Is Omitted
			Liabilities	
			Stockholders' equity	
			(Retained earnings)	

Exhibit 7

Adjusting Entries—NetSolutions

Journal				Page 5	
Date	Description	Post. Ref.	Debit	Credit	
20Y3	Adjusting Entries				
Dec. 31	Accounts Receivable	12	500		
	Fees Earned	41		500	
	Accrued fees (25 hrs. × \$20).				
31	Wages Expense	51	250		
	Wages Payable	22		250	
	Accrued wages.				
31	Unearned Rent	23	120		
	Rent Revenue	42		120	
	Rent earned (\$360 ÷ 3 months).				
31	Supplies Expense	52	1,240		

Date	Description	Post. Ref.	Debit	Credit
	Supplies	14		1,240
	Supplies used (\$2,000 – \$760).			
31	Insurance Expense	55	200	
	Prepaid Insurance	15		200
	Insurance expired (\$2,400 ÷ 12 months).			
31	Depreciation Expense	56	50	
	Accum. Depreciation—Office Equipment	19		50
	Depreciation on office equipment.			

Business Insight

Microsoft's Deferred Revenues

Microsoft Corporation (MSFT) develops, manufactures, licenses, and supports a wide range of computer software products, including Windows[®] operating systems, Word[®], Excel[®], and the Xbox[®] gaming system. When Microsoft sells its products, it incurs an obligation to support its software with technical support and periodic updates. As a result, not all the revenue is earned on the date of sale; some of the revenue on the date of sale is unearned. The portion of revenue related to support services, such as updates and technical support, is earned as time passes and support is provided to customers. Thus, each year Microsoft makes adjusting entries transferring some of its unearned revenue to revenue. The following excerpts were taken from recent financial statements of Microsoft:

	Year 2	Year 1
Unearned revenue (in millions)	\$37,206	\$32,720

The Year 2 balance is equal to 30% of Year 2 revenues, indicating the significant impact of unearned revenue to Microsoft's operating results. During Year 3, Microsoft expects to recognize \$32,676 of revenue from the \$37,206 of unearned

revenue. At the same time, Microsoft will record additional unearned revenue from Year 3 sales.

NetSolutions' adjusting entries are posted to the ledger shown in Exhibit 8. The adjustments are highlighted in Exhibit 8 to distinguish them from other transactions.

Exhibit 8

Ledger with Adjusting Entries—NetSolutions

Account <i>Cash</i>				Account No. 11		
Date	Item	Post. Ref.	Debit	Credit	Balance	
					Debit	Credit
2013						
Nov. 1		1	25,000		25,000	
5		1		20,000	5,000	
18		1	7,500		12,500	
30		1		3,650	8,850	
30		1		950	7,900	
30		2		2,000	5,900	
Dec. 1		2		2,400	3,500	
1		2		800	2,700	
1		2	360		3,060	
6		2		180	2,880	
11		2		400	2,480	
13		3		950	1,530	
16		3	3,100		4,630	
20		3		900	3,730	
21		3	650		4,380	
23		3		1,450	2,930	
27		3		1,200	1,730	
31		3		310	1,420	
31		4		225	1,195	
31		4	2,870		4,065	
31		4		2,000	2,065	

Account <i>Accounts Receivable</i>					Account No. 12	
Date	Item	Post. Ref.	Debit	Credit	Balance	
					Debit	Credit
2013						
Dec. 16		3	1,750		1,750	
21		3		650	1,100	
31		4	1,120		2,220	
31	Adjusting	5	500		2,720	

Account <i>Supplies</i>					Account No. 14	
Date	Item	Post. Ref.	Debit	Credit	Balance	
					Debit	Credit
2013						
Nov. 10		1	1,350		1,350	
30		1		800	550	
Dec. 23		3	1,450		2,000	
31	Adjusting	5		1,240	760	

Account <i>Prepaid Insurance</i>					Account No. 15	
Date	Item	Post. Ref.	Debit	Credit	Balance	
					Debit	Credit
2013						
Dec. 1		2	2,400		2,400	
31	Adjusting	5		200	2,200	

Account <i>Unearned Rent</i>					Account No. 23	
Date	Item	Post. Ref.	Debit	Credit	Balance	
					Debit	Credit
2013						
Dec. 1		2		360		360
31	Adjusting	5	120			240

Account <i>Land</i>					Account No. 17	
Date	Item	Post. Ref.	Debit	Credit	Balance	
					Debit	Credit
2013						
Nov. 5		1	20,000		20,000	

Account <i>Common Stock</i>					Account No. 31	
Date	Item	Post. Ref.	Debit	Credit	Balance	
					Debit	Credit
2013						
Nov. 1		1		25,000		25,000

Account <i>Office Equipment</i>					Account No. 18	
Date	Item	Post. Ref.	Debit	Credit	Balance	
					Debit	Credit
2013						
Dec. 4		2	1,800		1,800	

Account <i>Dividends</i>					Account No. 33	
Date	Item	Post. Ref.	Debit	Credit	Balance	
					Debit	Credit
2013						
Nov. 30		2	2,000		2,000	
Dec. 31		4	2,000		4,000	

Account <i>Accum. Depr.—Office Equip.</i>					Account No. 19	
Date	Item	Post. Ref.	Debit	Credit	Balance	
					Debit	Credit
2013						
Dec. 31	Adjusting	5		50		50

Account Fees Earned					Account No. 41	
Date	Item	Post. Ref.	Debit	Credit	Balance	
					Debit	Credit
2013						
Nov. 18		1		7,500		7,500
Dec. 16		3		3,100		10,600
16		3		1,750		12,350
31		4		2,870		15,220
31		4		1,120		16,340
31	Adjusting	5		500		16,840

Account <i>Accounts Payable</i>					Account No. 21	
Date	Item	Post. Ref.	Debit	Credit	Balance	
					Debit	Credit
2012						
Nov. 10		1		1 350		1 350

Nov. 10	1	950	1,950	1,950
Dec. 4	2	1,800	2,200	400
11	2	400	1,800	
20	3	900	900	

Account <i>Wages Payable</i>					Account No. 22	
					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
2013						
Dec. 31	Adjusting	5		250		250

Account <i>Rent Revenue</i>					Account No. 42	
					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
2013						
Dec. 31	Adjusting	5		120		120

Account <i>Wages Expense</i>					Account No. 51	
					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
2013						
Nov. 30		1	2,125		2,125	
Dec. 13		3	950		3,075	
27		3	1,200		4,275	
31	Adjusting	5	250		4,525	

Account <i>Supplies Expense</i>					Account No. 52	
					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
2013						
Nov. 30		1	800		800	
Dec. 31	Adjusting	5	1,240		2,040	

Account <i>Insurance Expense</i>					Account No. 55	
					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
2013						
Dec. 31	Adjusting	5	200		200	

Account <i>Rent Expense</i>					Account No. 53	
					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
2013						
Nov. 30		1	800		800	
Dec. 1		2	800		1,600	

Account <i>Depreciation Expense</i>					Account No. 56	
					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
2013						
Dec. 31	Adjusting	5	50		50	

Account <i>Utilities Expense</i>					Account No. 54	
					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
2013						
Nov. 30		1	450		450	
Dec. 31		3	310		760	
31		4	225		985	

Account <i>Miscellaneous Expense</i>					Account No. 59	
					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
2013						
Nov. 30		1	275		275	
Dec. 6		2	180		455	

Using Data Analytics

Transforming Data

When a company uses data analytics to solve a problem, it must not only extract relevant data but also transform the raw data. *Transforming* raw data involves the process of cleansing and assembling the extracted data into a data set. Extracted data may include erroneous or missing data, including values that are not meaningful such as outliers. The process of transforming the data evaluates, resolves, and “cleans” the data of erroneous and missing values. Once the extracted data are cleansed, they are combined into a data set for analysis.

The data analytic process of transforming data is similar to the adjusting process that is described and illustrated in this chapter. For example, the unadjusted accounts must be transformed (updated) into adjusted accounts. In addition, the accounts must be evaluated (cleansed) for any erroneous or missing accounts. For example, a credit balance in supplies indicates an error.

